

Subject Description Form

Subject Code	AF5130
Subject Title	Sustainable Finance
Credit Value	3
Level	5
Pre-requisite/ Co-requisite/ Exclusion	Nil
Objectives	This is an introductory course on Sustainable Finance designed to provide an basic to intermediate level of understanding of how ESG and sustainability related issues have become relevant to the finance and investment decisions by corporate finance managers, professional investors and other market participants. This subject provides updated knowledge about 1) ESG risk and opportunities; 2) the role of the financial system and financial institutions in achieving carbon neutrality and sustainability; 3) the key concepts, principles, and regulations of ESG and sustainability reporting; 4) different frameworks for incorporating sustainable investing practices from both the investor and corporate boardroom perspectives (The full spectrum of sustainable finance products and strategies across the equity and fixed income asset classes will be covered); and 5) various climate risk related challenges and opportunities for existing companies and entrepreneurs.
Intended Learning Outcomes	Upon completion of the subject, students will be able to: a. Understand the role of carbon neutrality in sustainable development, and the importance of financial the system in achieving it. b. Understand the mainstream theories, underlying drivers, and financial impacts of corporate sustainable activities and disclosure c. Gain an overall picture of ESG risk and opportunities and how the financial system can facilitate sustainability and the transition to carbon neutrality. d. Get an understanding of selected economic principles and approaches to various sustainable investing. e. Identify and evaluate the major types of sustainable finance products and services f. Equip with the knowledge about the current stage and future trend of sustainable reporting, GRI & ISSB standards, climate risk, and the mechanism and challenges of various carbon pricing instruments

	g. Apply the key sustainable finance concepts to real world sustainability-related issues in the world of finance. h. Understand how and why sustainable finance help to achieve sustainable development goals of carbon neutrality.
Subject Synopsis/ Indicative Syllabus	Topic 1: Introduction to Sustainable Finance and an overview of ESG factors • What is finance? • What is the difference between ESG and sustainability? • Introduction to Environmental, Social, Governance concepts and factors. • Definition of sustainable finance. • Understanding the application of sustainable, green, and transition finance. Topic 2: Basic understanding of the current financial system • Define the role financial institutions and supporting organisations play in the financial system. • Describe the relationship between financial institutions and supporting organisations. • Discuss how the current capital flows have become established over time. • Describe the direction of capital flows in the current financial system. • Identify the areas where the current financial system is not fit for purpose. • Explain the impact of the current financial system on business, society, and the environment. Topic 3: Steering capital for a sustainable future • Describe how capital flows are changing and the need for change to create a sustainable finance system. • Determine the impact that megatrends are having on the real economy and the different ways that stakeholders in the financial system should respond. • Describe how capital flows are changing and the need to change to create a sustainable finance system. • Identify possible barriers to change in the financial system. • Describe winners and losers from the current financial system. Topic 4: Sustainable Finance: Markets and Instruments • Identify trends and flows in sustainable, green, and climate finance. • Green, social, climate, and sustainable bonds. • The core components of the Green Bond Principles. • Green loans and their markets. • Sustainability-linked bonds and loans. • The core components of the Sustainability-Linked Loan and Sustainability-Linked Bond Principles. • Sustainable funds, green funds, and other Sustainable Finance products.

	Topic 5: Understanding the dynamics of Sustainable Investing and its different approaches • Introduction to sustainable investing and the theories of CSR. • Differentiating between socially focused investing, governance focused investing and environment focused investing. • The market size and growth prospects of the Sustainable Investing market. • Exclusion-based Sustainable Investing. • Integration-based Sustainable Investing. • Impact and engagement-based Sustainable Investing. Topic 6: ESG and Sustainability Disclosures, Ratings, Reporting Standards • Introduction to sustainability reporting, ISSB and TCFD Standard. • Corporate voluntary and mandatory CSR/ ESG/ Carbon emission disclosure. • ESG ratings and scores by external rating agencies. • The role of sustainability reporting in facilitating carbon neutrality. Topic 7: ESG and Climate Change • Understanding the relationship and intersection of sustainability, ESG, and/ or climate change. • Why focus on climate change? • What are the different climate risks – physical and transition - and opportunities? • The transition to a net-zero economy. • What are sustainable technologies to support the net-zero transition? • What (Who) is driving business firms to focus on climate change? • What are the climate risks and opportunities for firms? • What is green greenwashing and its different types. •																												
Teaching/Learning Methodology	This subject comprises of classroom lectures with a group project where students will share the findings of their group project. The classroom lectures will introduce the key concepts, principles, regulations, disclosures, economic forces and challenges for corporate sustainable development and the transition to carbon neutrality, various approaches to sustainable investing, and the mechanism and economic rationale of various carbon pricing instruments. For the group project, students are expected to apply the sustainable finance and investment principles to a real-life problem statement, a hypothetical research problem statement, or other topic as agreed with the course instructor.																												
Assessment Methods in Alignment with Intended Learning Outcomes	<table><tr><th rowspan="2">Specific assessment methods/tasks</th><th rowspan="2">% weighting</th><th colspan="8">Intended subject learning outcomes to be assessed (Please tick as appropriate)</th></tr><tr><th>a</th><th>b</th><th>c</th><th>d</th><th>e</th><th>f</th><th>g</th><th>h</th></tr><tr><td>1. Class participation</td><td>10%</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td><td>√</td></tr></table>	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)								a	b	c	d	e	f	g	h	1. Class participation	10%	√	√	√	√	√	√	√	√
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1. Class participation	10%	√	√	√	√	√	√	√	√																				

	2. Group Project and Presentation	40%	√	√	√	√	√	√	√	√
	3. Final Examination	50%	√	√	√	√	√	√	√	√
	Total	100 %								
	<u>Continuous Assessment Component (50%)</u>									
	Class participation (10%):									
	It is assessed based on the students’ performance during class. The assessment relates to attendance and participation in class discussions. Students are expected to actively participate in classroom discussion and other various classroom activities arranged by the lecturer.									
	Group presentation/ Group Project (40%):									
	Students can either form a group (the minimum number of four to a maximum of six) or choose to be assigned to a group by the lecturer. Each group will come up with one topic and all group members are required to make a presentation in class and answer questions raised by the instructor and classmates during Q & A sessions.									
	<u>Deliverables</u>									
	1. Powerpoint slides ≤ 25 slides (excluding cover and reference); 15 min presentation and 5 min Q&A 2. The soft copy of the presentation should be uploaded to the Blackboard <u>3 calendar days before</u> the presentation date. Late submission results in a 5-mark reduction for each day late.									
Student Study Effort Expected	<u>Final Examination (50%)</u>									
	The final examination is a three-hour CLOSED BOOK examination, which comprises cases/questions relating to all the learning outcomes.									
	Class contact:									
	▪ Lectures									30 Hrs.
	▪ Group project presentation									9 Hrs.
Other student study effort:										
▪ Preparing for group project presentation and reading materials									78 Hrs.	

	Total student study effort	117 Hrs.
Reading List and References	Reference textbook: Vargas, C., & Abingdon, O. (2024). Sustainable Finance Fundamentals. Routledge La Torre, M., & Leo, S. (2023) Contemporary issues in Sustainable Finance: Exploring performance, impact measurement and financial inclusion. Palgrave Macmillan La Torre, M., & Chiappini, H. (2021) Contemporary issues in Sustainable Finance: Financial products and financial institutions. Palgrave Macmillan Gutterman, A. S. (2021). Sustainable finance and impact investing. Business Expert Press. First edition “Essentials of Corporate Finance” by Stephen Ross and Randolph Westerfield and Bradford Jordan (2020) https://www.mheducation.com/highered/product/essentials-corporate-finance-ross-westerfield/M9781260013955.html) Schoenmaker, D., & Schramade, W. (2019). Principles of sustainable finance. Oxford University Press. First edition	